# RUSSIAN FEDERATION

| Table 1 | 2019 |
|---|---|
| Population, million | 144.4 |
| GDP, current US$ billion | 1689.3 |
| GNI per capita, US$ (Atlas method) | 11260.0 |
| International poverty rate ($1.9)[a] | 0.0 |
| Lower middle-income poverty rate ($3.2)[a] | 0.4 |
| Upper middle-income poverty rate ($5.5)[a] | 3.7 |
| Gini index[b] | 37.5 |
| School enrollment, primary (% gross)[c] | 102.6 |
| Life expectancy at birth, years[b] | 72.7 |

Source: WDI, Macro Poverty Outlook, and official data.
Notes:
(a) Most recent value (2018), 2011 PPPs.
(b) Most recent WDI value (2018).
(c) Most recent WDI value (2017).

*A less than expected GDP contraction in the second quarter of 2020 and an upward revision of the oil price forecast led to an upgrade in Russia's economic outlook for 2020 to minus 5 percent (from minus 6 percent in July). A projected rebound in 2021 and 2022, of 2.8 percent and 2.4 percent, is based on the pandemic's effects fading, and domestic demand growth resuming. After an uptick in 2020, poverty rates are expected to decline in 2022 to below 2019 levels.*

## Recent developments

With the introduction of lockdown measures at the end of March, Russia was hit by domestic supply and demand shocks against a backdrop of already weak external demand and slipped into recession. In the second quarter of 2020, Russia's GDP shrank by 8 percent, y/y, though performing better than expected with real estate and financial sector supporting such dynamics. Unemployment rose to 6.4 percent in August from 4.5 percent in the beginning of the year. In May - June, the economy began to gradually rebound, supported mainly by domestic demand (Figure 1).

A decline in Russia's energy export receipts halved the current account surplus to US$23.3 billion in the first eight months of 2020. Increased capital outflow amidst financial volatility and geopolitical risks put pressure on the exchange rate, with the REER depreciating by 3.5 percent.

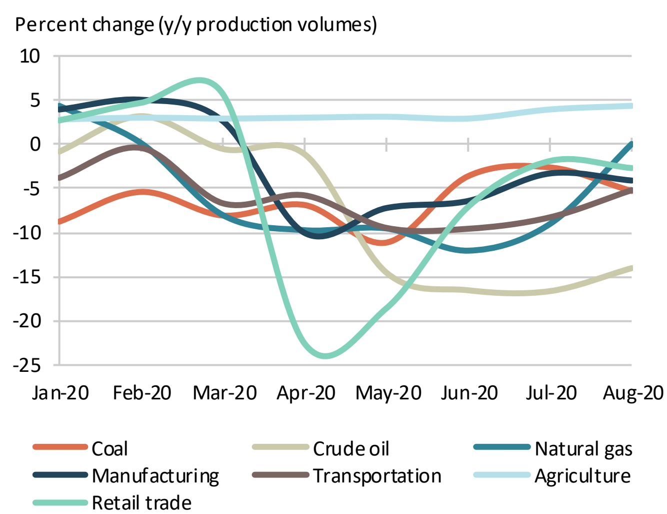
On the back of the ruble depreciation and rebounding domestic demand, annual headline inflation accelerated to 3.6 percent in August, yet it remains below the CBR target of 4 percent with the economy below its potential. In September, the CBR paused its accommodative policy actions, leaving the key policy rate at a record low of 4.25 percent. In addition to rate cuts and regulatory forbearance measures, the CBR introduced a range of support measures for banks, companies and households, including payment holidays for retail and SME borrowers. Consequently, key credit risk and performance indicators of banks remained stable. However, there has been a slowdown in lending, deterioration in asset quality and massive loan restructuring, which is estimated at about 13.3% of total banking sector loans in the period from March to beginning-September 2020.

In line with the fiscal rule, the decline in oil and gas fiscal revenues below the value corresponding to the threshold price of US$42.4/bbl was compensated from National Wealth Fund (NWF). Sizable additional domestic borrowing, carryover of unspent funds from 2019, and revenue generated from the Sberbank sale by the CBR, enabled the government to mobilize a fiscal response package of about 4 percent of GDP. While relatively small compared to advanced economies, it is at par with countries with similar GDP per capita. Fiscal support policies are likely to contain the poverty impact of the crisis, but their effectiveness will depend on take -up rates by beneficiaries and implementation capacity.

## Outlook

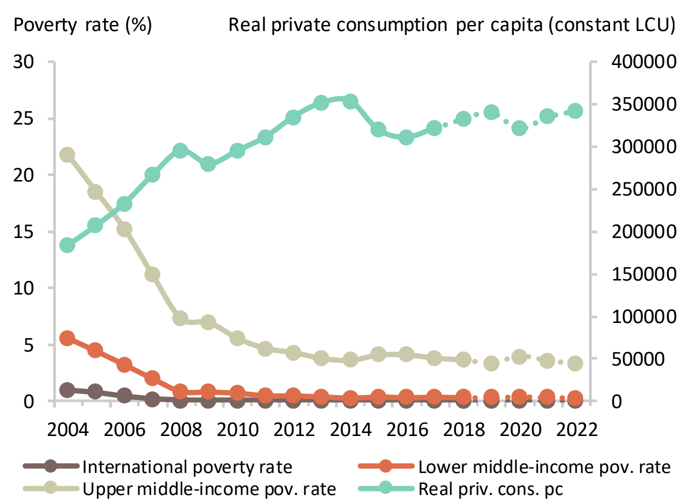
Russia's 2020 GDP is projected to contract by 5 percent, an eleven-year low. Assuming broad access to vaccines in mid-2021, GDP is expected to expand by 2.8 and 2.4 percent in 2021 and 2022, respectively. Recovery in consumer demand is expected to lead the rebound, supported by accommodative monetary stance. High levels of

**FIGURE 1 Russian Federation** / High frequency economic indicators




Source: Russian Statistical Authorities.

**FIGURE 2 Russian Federation** / Actual and projected poverty rates and real private consumption per capita




Source: World Bank. Notes: see Table 2.

uncertainty will weigh on investment, expected to grow by a modest 2 percent in 2021 and 4.1 percent in 2022. The fiscal rule relaxation would provide for more gradual consolidation in 2021-2022. With rebound of economic activity in the EU and China, Russia's main trading partners, export volume is expected to grow by 4 and 4.8 percent in 2021 and 2022. The general budget is expected to register deficits in 2021-2022, largely financed through domestic debt borrowing and proposed increases in taxes for the mining sector and income taxes. General government debt is expected to remain at comfortable levels and not exceed 24 percent of GDP by 2022. Poverty rates under international thresholds remain low. The poverty rate is expected to decline in 2022 to below 2019 levels as the economy rebounds. An uptick in poverty in 2020 is possible, if social policies have incomplete up-take or face implementation hurdles.

## Risks and challenges

Risks to the economic outlook are heavily tilted to the downside. Geopolitical risks and the threat of potential new sanctions grew since August. An intensification of the spread of infections could worsen global growth, which could further dampen oil prices. Banks could face a significant deterioration in asset quality, profitability and capitalization. The CBR has recently prolonged the forbearance on impairment recognition until end June 2021. While these measures should ease regulatory pressure and allow banks to accumulate more profits to cover increases in problem loans, they will also delay recognition of losses. A protracted pandemic; broad vaccinations starting only in 2022; further declines in energy prices; and growing macro-financial vulnerabilities could lower GDP growth to 1 percent in 2021 and 1.2 percent in 2022.

The pandemic is estimated to result in school learning losses of more than one-third of a Russian school year, reducing marginal future earnings by about 2.5 per -cent per year over a student's working life. It has also underscored the urgency of reforms in social protection. Mitigating the impact of the COVID-19 crisis on the poor and vulnerable is attainable using the current welfare system but it needs strengthening along two dimensions: (i) its coverage of the poor must be expanded, and (ii) its generosity needs to be increased. Early projections for year 2020 end with a 12.2 percent national poverty rate (0.2 percentage points above a pre-pandemic scenario for the same year). The pre-pandemic goal of halving poverty to 6.6 percent by 2024 is unlikely to be attained. A new decree in July moves the goal of halving the poverty rate to 2030 (from a baseline official poverty rate in 2017 of 12.9 percent).

The state's presence in Russia's economy was broad and deep before the pandemic and could grow after the pandemic. Product market regulation in Russia is restrictive to competition mainly through direct state control in the economy. The government can foster competition and eliminate distortions associated with the presence of the state in the economy by: removing barriers for firms to contest markets where state-owned enterprises (SOEs) are present; limiting the procedural discretion with which companies—SOEs in particular—procure goods and services; and considering divestiture and privatization in a transparent and competitive process for SOEs in commercial sectors.

**TABLE 2 Russian Federation** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

| | 2017 | 2018 | 2019 | 2020 e | 2021 f | 2022 f |
|---|---|---|---|---|---|---|
| **Real GDP growth, at constant market prices** | 1.8 | 2.5 | 1.3 | -5.0 | 2.8 | 2.4 |
| Private Consumption | 3.7 | 3.3 | 2.5 | -5.7 | 4.2 | 2.0 |
| Government Consumption | 2.5 | 1.3 | 2.2 | 3.5 | -3.0 | 0.0 |
| Gross Fixed Capital Investment | 4.7 | 0.2 | 1.5 | -6.5 | 2.0 | 4.1 |
| Exports, Goods and Services | 5.0 | 5.5 | -2.3 | -12.9 | 3.9 | 4.6 |
| Imports, Goods and Services | 17.3 | 2.6 | 3.4 | -15.2 | 6.4 | 5.4 |
| **Real GDP growth, at constant factor prices** | 1.8 | 2.5 | 1.4 | -5.0 | 2.9 | 2.5 |
| Agriculture | 1.5 | 0.9 | 0.6 | 2.0 | 2.0 | 2.0 |
| Industry | 1.8 | 2.2 | 1.0 | -4.5 | 1.9 | 2.7 |
| Services | 1.9 | 2.7 | 1.7 | -5.7 | 3.5 | 2.4 |
| **Inflation (Consumer Price Index)** | 3.7 | 2.9 | 3.0 | 3.3 | 3.7 | 4.0 |
| **Current Account Balance (% of GDP)** | 2.0 | 6.9 | 3.8 | 0.3 | 0.6 | 0.7 |
| **Net Foreign Direct Investment (% of GDP)** | -0.5 | -1.4 | 0.5 | 0.0 | 0.2 | 0.3 |
| **Fiscal Balance (% of GDP)**[a] | -1.5 | 2.9 | 1.9 | -4.9 | -2.9 | -1.6 |
| **Debt (% of GDP)** | 15.2 | 13.6 | 13.9 | 20.5 | 22.9 | 23.7 |
| **Primary Balance (% of GDP)**[a] | -0.6 | 3.8 | 2.7 | -4.0 | -1.8 | -0.4 |
| **International poverty rate ($1.9 in 2011 PPP)**[b,c] | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Lower middle-income poverty rate ($3.2 in 2011 PPP)**[b,c] | 0.4 | 0.4 | 0.3 | 0.4 | 0.3 | 0.3 |
| **Upper middle-income poverty rate ($5.5 in 2011 PPP)**[b,c] | 3.8 | 3.7 | 3.4 | 4.0 | 3.6 | 3.3 |

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate. f = forecast.

(a) Fiscal and Primary Balance refer to general government balances.

(b) Calculations based on ECAPOV harmonization, using 2018-HBS. Actual data: 2018. Nowcast: 2019. Forecast are from 2020 to 2022.

(c) Projection using neutral distribution (2018) with pass-through = 0.7 based on private consumption per capita in constant LCU.